

THE TEN PRINCIPLES FOR A BLACK-SWAN-ROBUST SOCIETY*

I wrote the following “ten principles” mostly for economic life to cope with the Fourth Quadrant, in the aftermath of the crisis.

1. What is fragile should break early, while it’s still small.

Nothing should ever become too big to fail. Evolution in economic life helps those with the maximum amount of hidden risks become the biggest.

2. No socialization of losses and privatization of gains.

Whatever may need to be bailed out should be nationalized; whatever does not need a bailout should be free, small, and risk-bearing. We got ourselves into the worst of capitalism and socialism. In France, in the 1980s, the socialists took over the banks. In the United States in the 2000s, the banks took over the government. This is surreal.

3. People who were driving a school bus blindfolded (and crashed it) should never be given a new bus.

The economics establishment (universities, regulators, central bankers, government officials, various organizations staffed with economists) lost its legitimacy with the failure of the system in 2008. It is irresponsible and foolish to put our trust in their ability to get us out of this mess. It is also irresponsible to listen to advice from the “risk experts” and business school academia still promoting their measurements, which failed us (such as Value-at-Risk). Find the smart people whose hands are clean.

4. Don’t let someone making an “incentive” bonus manage a nuclear plant—or your financial risks.

Odds are he would cut every corner on safety to show “profits” from these savings while claiming to be “conservative.” Bonuses don’t